

Thirteenth Edition

BUSINESS ETHICS

Ethical Decision Making and Cases

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Chapter 5

Emerging Business Ethics Issues

Learning Objectives

By the end of this chapter, you should be able to:

- Define ethical issues in the context of organizational ethics
- Examine ethical issues as they relate to the basic values of honesty, fairness, and integrity
- Delineate misuse of company resources, abusive and intimidating behavior, lying, conflicts of interest, bribery, corporate intelligence, discrimination, sexual harassment, fraud, consumer fraud, financial misconduct, and insider trading
- Examine the challenge of determining an ethical issue in business

Icebreaker

- What does the term “dilemma” mean to you?
- Share examples of misconduct in the workplace.

5-1

Recognizing an Ethical Issue (Ethical Awareness)

Recognizing an Ethical Issue (Ethical Awareness) 1 of 1

- People make ethical decisions when they find an ethical component in a particular issue or situation.
- Failure to acknowledge or be aware of ethical issues is hazardous to an organization.
 - In a dilemma, all of the alternatives have negative consequences, so the less harmful choice is made.
 - Collusion is a secret agreement between two or more parties for a fraudulent, illegal, or deceitful purpose.
 - Deceitful purpose suggests trickery, misrepresentation, or a strategy designed to lead others to believe something less than the whole truth.

5-2

Foundational Values for Identifying Ethical Issues

Foundational Values for Identifying Ethical Issues 1 of 3

Integrity

- **Integrity** – One of the most important elements of virtue; refers to being whole, sound, and in an unimpaired condition; implies a balanced organization that not only makes ethical financial decisions but also is ethical in the more subjective aspects of its corporate culture.
- At a minimum, businesses are expected to follow laws and regulations.
- Business relations should be grounded in integrity.

Foundational Values for Identifying Ethical Issues 2 of 3

Honesty

- **Honesty** – Refers to truthfulness or trustworthiness
- Issues related to honesty arise because business is sometimes regarded as a game governed by its own rules rather than those of society.
- Many argue that because people are not economically self-sufficient, they cannot withdraw from the relationships of business.
 - Business must make clear what rules apply.
 - Rules appropriate to the involuntary nature of its many participants must be developed.
- **Dishonesty** – A lack or absence of integrity, incomplete disclosure, and an unwillingness to tell the truth

Foundational Values for Identifying Ethical Issues 3 of 3

Fairness

- **Fairness** – The quality of being just, equitable, and impartial
 - Overlaps with concepts of justice, equity, and equality
- Three fundamental elements that motivate people to be fair include:
 - **Equality** – Refers to the fair and even distribution of benefits and resources
 - **Reciprocity** – An interchange of giving and receiving in social relationships
 - **Optimization** – The trade-off between equity (equality) and efficiency (maximum productivity)

Knowledge Check

Question: What are the three fundamental elements that motivate people to be fair?

5-3

Emerging Ethical Issues and Dilemmas in Business

Emerging Ethical Issues and Dilemmas in Business 1 of 14

- **Ethical issue** – A problem, situation, or opportunity that requires an individual, group, or organization to choose among several actions that must be evaluated as right or wrong, ethical or unethical
- **Ethical dilemma** – A problem, situation, or opportunity that requires an individual, group, or organization to choose among several actions that have negative outcomes
 - There is not a right or ethical choice in a dilemma, only less unethical or illegal choices as perceived by any and all stakeholders.

Emerging Ethical Issues and Dilemmas in Business 2 of 14

Misuse of Company Time and Resources

- Time theft is estimated to cost companies hundreds of billions of dollars annually.
 - Late arrivals, leaving early, long lunch breaks, inappropriate sick days, excessive socializing, engaging in personal activities
- Using company computer software and internet services for personal business is one of the most common ways employees misuse company resources.
 - Many companies have policies delineating acceptable use of resources

Emerging Ethical Issues and Dilemmas in Business 3 of 14

Abusive or Intimidating Behavior

- **Abusive or intimidating behavior** – Common ethical problem, may refer to:
 - Physical threats
 - False accusations
 - Being annoying
 - Profanity
 - Insults
 - Yelling
 - Harshness
 - Ignoring someone
 - Unreasonableness
- Within abusive behavior or intimidation, intent should be a consideration
- Bullying creates a hostile environment

Debate Issue: Take a Stand

- Workplace bullying is abusive behavior used to assert one's power over another.
- The U.S. does not have laws against workplace bullying.
 - Many believe employees should be legally protected from workplace bullying because it is harmful (e.g., depression, anxiety, and low self-esteem).
 - Others believe this would limit managers' ability to manage since they would be afraid their management styles could be perceived as bullying.
 - Bullying is hard to define, making such a law difficult to enforce.
- Take a stand:
 1. Bullying in organizations can be harmful to employees and therefore warrants legal action.
 2. Laws against bullying are not feasible as they are hard to define and have the potential to limit managers' ability to manage.

Emerging Ethical Issues and Dilemmas in Business 4 of 14

Lying

- **Lying** – Untruthfulness that can be joking without malice, commission lying, and omission lying
 - Commission lying is creating a perception or belief by words that intentionally deceive the receiver of the message.
 - It also entails intentionally creating noise in the form of technical explanations the communicator knows the receiver does not understand.
 - Omission lying is intentionally not informing others of any differences, problems, safety warnings, or negative issues relating to the product or company that significantly affect awareness, intention, or behavior.

Emerging Ethical Issues and Dilemmas in Business 5 of 14

Conflicts of Interest

- **Conflict of interest** – When an individual must choose whether to advance his or her own interests, those of the organization, or those of some other group
- Employees must be able to separate their private interests from their business dealings.

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Bribery

- **Bribery** – The practice of offering something (often money) in order to gain an illicit advantage from someone in authority
- **Active bribery** – When the person who promises or gives the bribe commits the offense
- **Passive bribery** – Offense committed by the official who receives the bribe
- **Facilitation payments** – Payments made to obtain or retain business or other improper advantages that do not constitute bribery payments for U.S. companies in some situations

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Corporate Intelligence

- **Corporate intelligence** – The collection and analysis of information on markets, technologies, customers, and competitors, as well as on socioeconomic and external political trends
 - There are three distinct types of intelligence models:
 - Passive monitoring system for early warning
 - Tactical field support
 - Support dedicated to top-management strategy
 - Corporate intelligence involves an in-depth discovery of information from corporate records, court documents, regulatory filings, and press releases, as well as any other background information about a company or its executives.

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Discrimination

- **Discrimination** – Prejudices based on race, color, religion, sex, marital status, public assistance status, disability, age, national origin, or veteran status; illegal in the United States
- **Equal Employment Opportunity Commission (EEOC)** – Federal agency that protects against workplace discrimination
- **Age Discrimination in Employment Act** – Outlaws hiring practices that discriminate against people of 40 years or older, as well as those that require employees to retire before the age of 70
- **Affirmative action programs** – Involve efforts to recruit, hire, train, and promote qualified individuals from groups that have traditionally been discriminated against on the basis of race, gender, or other characteristics

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Sexual Harassment

- **Sexual harassment** – Any repeated, unwanted behavior of a sexual nature perpetrated upon one individual by another
- **Hostile work environment** – Three criteria must be met:
 1. The conduct was unwelcome;
 2. The conduct was severe, pervasive, and regarded by the claimant as so hostile or offensive as to alter his or her conditions of employment; and
 3. The conduct was such that a reasonable person would find it hostile or offensive.
- **Dual relationship** – A personal, loving, and/or sexual relationship with someone with whom you share professional responsibilities

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Sexual Harassment (continued)

- Steps to avoid sexual misconduct or harassment include:

1. Establish a statement of policy
2. Establish a definition of sexual harassment
3. Establish a nonretaliation policy
4. Establish specific procedures for prevention
5. Establish a reporting procedure and encourage victims to report
6. Enforce established policies
7. Make sure the company has timely reporting requirements to the proper authorities

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Fraud

- **Fraud** – Any purposeful communication that deceives, manipulates, or conceals facts in order to harm others
- **Accounting fraud** – Inaccurate information in a corporation's financial reports, in which companies provide important information on which investors and others base decisions
- **Marketing fraud** – dishonestly creating, distributing, promoting, and pricing products
 - **Puffery** – Exaggerated advertising and boasting upon which no reasonable buyer would rely
 - **Implied falsity** – A message that has a tendency to mislead, confuse, or deceive the public
 - **Literally false** – When advertising says that tests prove (establishment claims), when the advertisement cites a study that establishes the claim; and bald assertions (nonestablishment claims), when the advertisement makes a claim that cannot be substantiated
 - Ambiguous statements

Discussion Activity

- Do you think puffery should be illegal?

Discussion Activity Debrief

Do you think puffery should be illegal?

- Puffery—exaggerated advertising, blustering, and boasting upon which no reasonable buyer would rely upon—is not actionable under the Lanham Act.
- The National Advertising Division (NAD) ruled that Samsung’s promotional claims “Best TV Ever” is an example of puffery rather than misleading advertising.
- The lines between puffery and deceptive advertising can be murky.

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Consumer Fraud

- **Consumer fraud** – When consumers attempt to deceive businesses for their own gain
 - Price tag switching, item switching, lying to obtain age-related or other discounts, taking advantage of return policies
- Collusion involves an employee who assists the consumer in fraud.
- Duplicity may involve a consumer staging an accident and then seeking damages; purchasing, wearing, and then returning an item of clothing; or asking for a refund by claiming a defect.
- Guile is associated with a person who is crafty or understands right/wrong behavior but uses tricks to obtain an unfair advantage.

TABLE 5-5 Common Types of Consumer Fraud

Type of Fraud	Definition	Example
Chargeback fraud	Disputing a legitimate transaction with a bank or credit card company after receiving the goods purchased	After receiving her large shipment in the mail, Melanie filed a claim with her credit card company claiming it was never shipped.
Price arbitrage	Swapping differently priced but similar items for a higher return	Daniel placed a 1-terabyte hard drive into the box for a 20-terabyte drive and returned it for a full refund.
Return fraud	Defrauding a retailer through the return process by replacing an item with something different or returning an item that was not legitimately purchased	Joe filled a PlayStation box with rocks, resealed it, and received a full refund when the store clerk failed to check the merchandise.
Showrooming	Visiting a brick-and-mortar store to examine products before going online to purchase it a lower cost	Aliyah goes to a bookstore to view and examine what books to buy and then goes online to buy them at the cheaper ebook price.
Wardrobing	Purchasing an item, wearing it, and then returning it for a refund	Jessica, a social media influencer, wore an expensive dress for a photo on Instagram and then returned it for a full refund.

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Financial Misconduct

- The failure to understand and manage ethical risks played a significant role in the global financial crisis (Great Recession).
 - Caused in part by a failure of the financial industry to take appropriate responsibility for use of risky, complex financial instruments
 - Subprime lending emerged as an ethics issue.
 - Loan officers received commissions on securing loans from borrowers with no consequences if the borrower defaulted on the loan.
 - “Liar loans” were developed to create more sales and higher personal compensation for lenders.
- Risk management in the financial industry continues to be a key concern.

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Insider Trading

- **Insider trading** – The buying or selling of stocks by insiders who possess information that is not yet public
 - Buying or selling stocks using information that is not yet public is illegal.
 - Insider trading is legal if the individual legally buys or sells stock in an insider's own company as long as the transaction(s) are reported to the SEC within two business days.

5-4

The Challenge of Determining an Ethical Issue in Business

The Challenge of Determining an Ethical Issue in Business 1 of 1

- Most ethical issues concerning a business will become visible through stakeholder concerns.
- Problems can become ethical issues as a result of changing societal values.
- **Crisis management** – The process of handling a high-impact event characterized by ambiguity and the need for swift action to access and respond to potential damage